HOW INDIA CAN PLAY CATCH-UP

It must bolster consumption and private investment to stimulate industry and exports

LEAGUE OF GIANTS

Currently 5th, India aspires to 3rd place among the world's 10 largest economies in absolute GDP (Jul. 18)



1. US
28,781



2. China
18,532



3. Germany
4,591



4. Japan
4,110



5. India
3,937



6. UK
3,495



7. France
3,130



8. Brazil
2,331



9. Canada
2,242

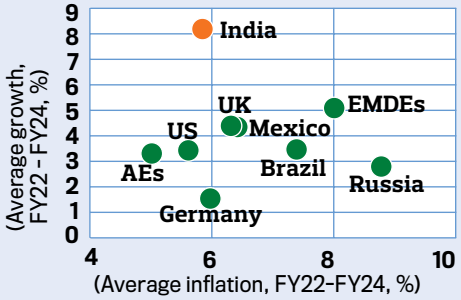


10. Italy
2,328

Figures in $ billion; Source: IMF

SO FAR, SO GOOD

India's growing faster than advanced nations, while keeping inflation low

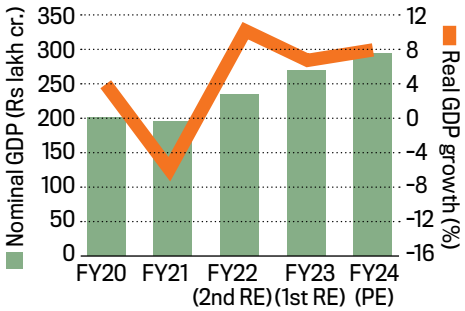


AEs: Advanced economies; EMDEs: Emerging market and developing economies

Source: IMF WEO database (April 2024), MoSPI

SMART RECOVERY

After the shock of Covid, India's yearly GDP needs to maintain the upward trajectory

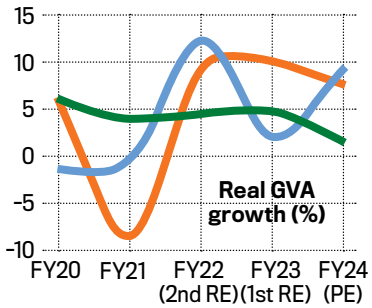


RE: Revised estimates; PE: Provisional estimates

Source: National Accounts Data, MoSPI

THE CHALLENGE

Industry shows some promise but agriculture growth remains a worry

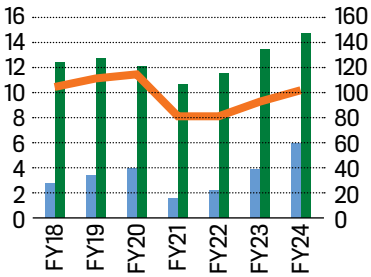


Agriculture Industry Services

THE RURAL VROOM

Vehicle sales in India's villages have had the sharpest recovery since the pandemic

No. of vehicles sold (in lakh)



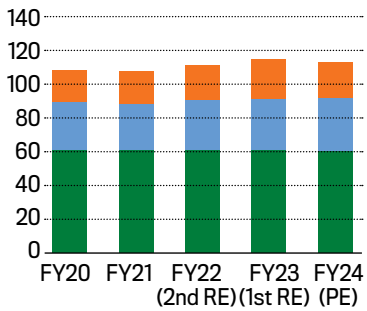
3-wheelers Passenger vehicles 2-wheelers (RHS)

BIG PUSH FOR DEMAND

Steady so far, pvt consumption must grow faster to encourage investment

Private final consumption expenditure (demand) Gross fixed capital formation (pvt investment) Exports

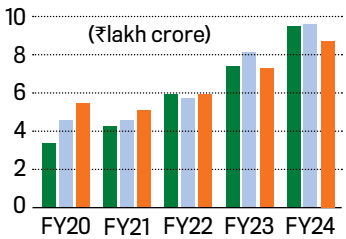
Per cent share in GDP



PRIVATE PROMISE

Private capex needs to step up to the plate so that it matches govt capex

Source: Handbook of Statistics on the Indian Economy, RBI; Axis Bank Research



Union government capex State government capex Private capex

A FORCE FOR GOOD